

US-Iran standoff likely to run through 2026

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【メール原文】

The US-Iran standoff is now likely to extend through the year, as increased Hormuz traffic reduces urgency for a deal. Strong AfD results in Germany's |||||

Daily Brief

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summary

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The US-Iran standoff is now likely to extend through the year, as increased Hormuz traffic reduces urgency for a deal.

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Strong AfD results in Germany's September state elections would increase infighting in the ruling coalition, but government collapse remains unlikely.

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IMF board approval of the staff-level agreement reached with Senegal will likely come in 2027.

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Investors' near-term focus on Senegal's IMF restructuring details will give way to the longer-term stabilization of the country's political trajectory.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, Germany, Iran, Senegal, and oil.

the top line

MENA Crisis—Standoff now likely to run through 2026 as Hormuz traffic increases

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Scope for a deal has receded, with neither the US nor Iran shifting their negotiating positions and both seemingly ready to endure a standoff that lasts the rest of this year.

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Flows through Hormuz have increased to 7-8 million barrels per day (bpd), reducing pressure on the US to seek a rapid end to the standoff, though Iran will have an incentive to expand its attacks on shipping in order to shift the status quo in its favor.

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Oil market pressures have eased but not disappeared, and the steady increase in crude and product prices will be important factors in potentially shifting the US position, either toward escalation or

renewed diplomacy.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Germany—AfD victory in Saxony-Anhalt heralds tumultuous autumn for Merz

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The far-right Alternative for Germany (AfD) will score strongly but likely miss an outright majority in the upcoming state elections on 6 September in the eastern state of Saxony-Anhalt, and will also not find political allies to form a government.

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Strong AfD results in all three September state elections, in combination with weak numbers for both the CDU and SPD, will increase the infighting in both parties, even though leadership challenges or government collapse remain unlikely this year (a 20% probability).

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Parliamentary implementation of the July pension deal that had stabilized the Merz government will likely be divisive and complicated, potentially watering down the government's only major legislative achievement.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Senegal—IMF board approval of Senegal program likely in 2027

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Senegal reached a staff-level agreement on a new 36-month, \$2.2 billion IMF program aimed at restoring macroeconomic stability and debt sustainability, reducing fiscal and external vulnerabilities, and supporting private sector-led growth. It would require fiscal consolidation and a restructuring of Senegal's external debt, though debt denominated in West African CFA francs will be excluded.

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The IMF board will probably not approve the program until early 2027. The government must finalize its debt sustainability assessment, request debt restructuring under the G20 Common Framework, and secure financing assurances from official creditors, while also completing corrective actions to secure a waiver in the financial data misreporting case.

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The 2027 budget will likely become the next political battle. Given that the debt restructuring and IMF conditions have been heavily politicized, the 2027 budget is likely to be intensely debated after its expected October presentation to parliament.

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Read more here . Reach out to discuss: africa@eurasiagroup.net .

Senegal—Chart of the Day: Bond prices fall in early restructuring under IMF funding plan

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Short-dated bond prices fell yesterday as an early restructuring is likely to cut interest payments. Longer-dated bonds were less affected, as the market already broadly expects an eventual

restructuring.

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In the near term, bondholders will focus on the restructuring details and recovery value. Over time, attention should shift toward the longer-term benefits of the improving political trajectory.

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The IMF agreement improves President Diomaye Faye's chances of securing a parliamentary majority early next year, which would facilitate economic stabilization.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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2 September 8:00 AM ET—Europe macro update. Register here .

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2 September 10:30 AM ET—Brazil update. Register here .

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3 September 10:00 AM ET—US-Mexico trade after the Canada standoff. Register here .

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3 September 9:00 PM ET—MENA Crisis update. Register here .

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3 September 11:00 AM ET—BRICS Summit. Register here .

eg in depth

Brazil—Moraes-Vorcaro scandal will fuel anti-court sentiment in the elections: Local media published excerpts from a federal police investigation containing messages from Daniel Vorcaro, a central figure in Brazil's largest banking fraud case, to Federal Supreme Court Justice Alexandre de Moraes. Vorcaro repeatedly asked Moraes to intervene in investigations into Master Bank and asked whether he should leave the country two days before his arrest. The revelation deepens the institutional crisis facing Brazil's supreme court. Pressure within the senate, has been mounting, with Moraes drawing particular hostility from Bolsonaro-aligned legislators, given his role in former president Jair Bolsonaro's arrest. The necessary 54 votes in favor of impeachment remain unlikely in 2027, but the next legislature could be more supportive of an impeachment proceeding against Moraes. The direct effect on President Luiz Inacio Lula da Silva's approval may be modest, but will reinforce institutional disillusionment, drown out his administration's accomplishments, and weaken his ability to tie Vorcaro to Bolsonaro. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

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2 September: Events: UK leader Andy Burnham's first Prime Minister's Questions in parliament. Data: US Fed Beige Book, ADP employment change. Central bank decision: Canada.

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3 September: Data: US trade.

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4 September: Data: Brazil trade, US nonfarm payrolls, and unemployment rate.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Blaise Hanson and Marianne Moreira.

closing quip

“The world is awash in debt. The only way for us to get out of this is to grow our way out of it.”—US Treasury Secretary Scott Bessent said on Monday

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